

Germany: Federal Spending Picked Up Notably in April

BOTTOM LINE: German federal expenditures in April came in at EUR 45.8bn, notably above our EUR 42.2bn forecast and EUR 8.0bn higher than in April 2025. Spending was in line with our expectations in the main budget and the military fund and exceeded expectations notably in the infrastructure & climate fund. With revenues falling slightly short of expectations, the fiscal balance was more negative than we expected and remains notably wider than we expected at the start of the year. The fiscal data since the start of the year supports our view of a notable fiscal expansion in 2026, which we expect to provide a fiscal impulse of around 0.6pp.

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KEY NUMBERS:

Expenditures in the Main Budget (April): EUR 38.6bn (vs. GS expected EUR 38.3bn and 2025 Realized EUR 36.8bn)

Expenditures (implied) in the Military Fund (April): EUR 1.2bn (vs. GS expected EUR 1.0bn and 2025 Realized EUR 0.9bn)

Expenditures (implied) in the Infrastructure and Climate Fund (April): EUR 6.1bn (vs. GS expected EUR 2.9bn and 2025 Realized EUR 0bn)

MAIN POINTS:

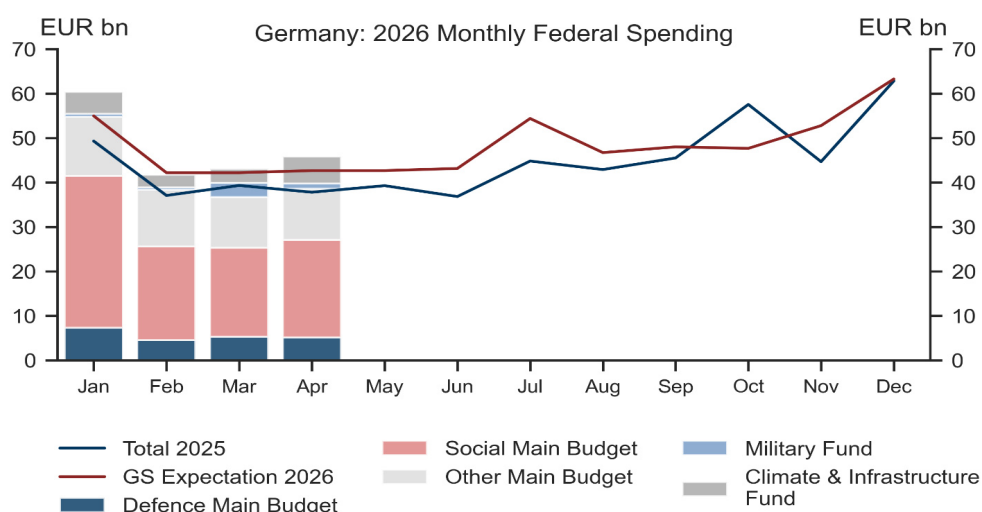
1. German fiscal data for April came in notably above our expectations. Overall spending across the main budget and the off-budget funds for the military and for infrastructure & climate came in at EUR 45.8bn, notably above our expectations of EUR 42.2bn and EUR 8.1bn higher than spending in April 2025.
2. Spending stood at EUR 38.6bn in the main budget in April, about EUR 0.3bn above our expectation and EUR 1.8bn above April last year. Both social spending and investment were higher than we expected, while defence spending in the main budget continued to fall slightly short of our expectations.
3. Spending in the off-budget military fund (implied by the fund's issuance activity) stood at EUR 1.2bn, slightly higher than our expectation of EUR 1.0bn and also higher than last year's EUR 0.9bn. YTD spending in the military fund is up EUR 1.7bn (+44%) from last year and total defence spending is up EUR 7.0bn (+34%). Spending in the infrastructure fund (implied by the fund's issuance activity) came in at EUR 6.1bn, notably above our expectation. Data on spending in the federal bucket of this fund, which came in at only EUR 0.7bn in April, suggests that the upside surprise came either from disbursement to the states or spending in the climate transformation fund. As the infrastructure & climate fund was only established last autumn, there are no comparable numbers for last year, but total spending out of

this fund remains notably higher than the decrease in infrastructure-related items in the main budget compared to last year.

4. As revenues in the main budget came in below our expectations, the fiscal balance in the main budget was wider than we expected at EUR -9.2bn (vs. EUR -8.0bn expected). Net issuance in the military fund stood at EUR 1.2bn and in the infrastructure & climate fund it stood at EUR 6.1bn, adding up to a total fiscal deficit of EUR -16.4bn in April. The cumulative fiscal deficit through April stood at EUR -63.6bn, EUR 18.8bn wider than we expected at the start of the year and EUR 36.2bn wider than in April last year.

5. The fiscal data since the start of the year supports our view of a notable fiscal expansion in 2026, which we expect to provide a fiscal impulse of around 0.6pp.¹ Due to a larger fiscal deficit year-to-date than we expected, we continue to see some upside risk to our fiscal impulse estimate.

Exhibit 1: Federal Spending in April was Notably Above Our Expectations

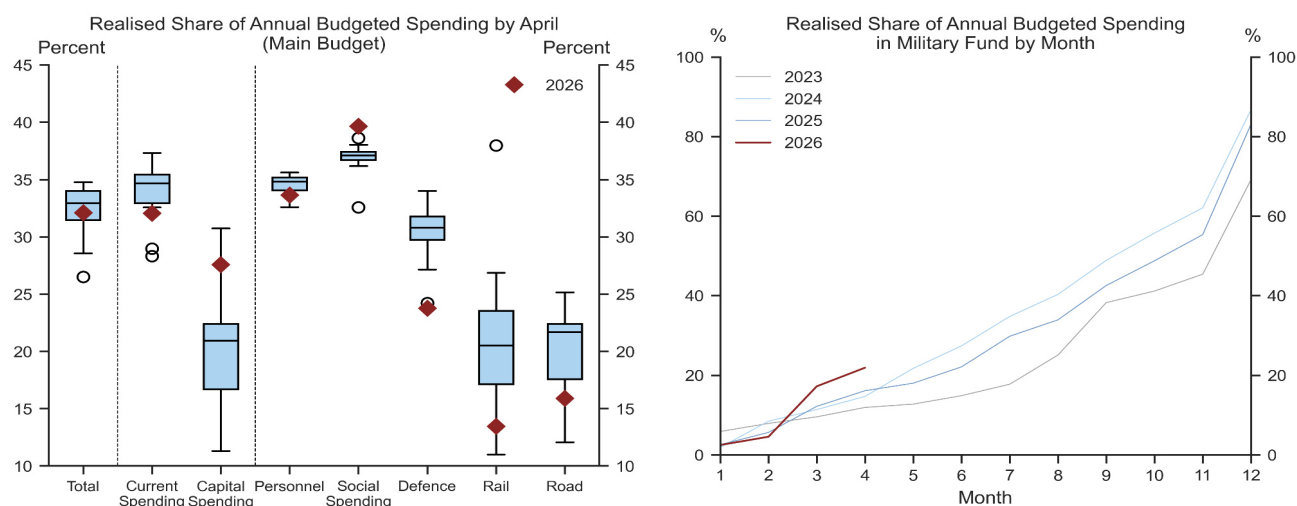


For the fully debt financed military and climate & transformation off-budget funds we infer monthly spending from monthly net issuance.

Source: Haver Analytics, Goldman Sachs Global Investment Research

¹ We recently upgraded our fiscal impulse estimate slightly by 0.1pp to reflect the lower than previously expected 2025 budget deficit.

Exhibit 2: Budget Execution in the Main Budget is in Line with Historical Norms; Spending from the Military Fund has Picked Up Notably



Source: Bundesministerium der Finanzen, Goldman Sachs Global Investment Research

Exhibit 3: Overview of the German Federal Budget for 2026

	2025			2026 FY			Execution Until Apr					Execution in Apr				
	Budgeted	Realized	Share Realized (3)/(2)	Budgeted	GS Expectation	Expected Share (5)/(4)	Realized 2025	GS Expectation 2026	Realized 2026	Realized 2026 vs. 2025 (9)/(7)	Realized vs. GS Expectation (9)/(8)	Realized 2025	GS Expectation 2026	Realized 2026	Realized vs. 2025	Realized vs. GS Expectation
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)
Main Budget : Revenues	420.7	427.9	102%	426.4	430.0	101%	136.0	136.7	127.3	94%	93%	30.2	30.4	29.4	97%	97%
Main Budget: Spending	502.5	493.3	98%	524.5	510.5	97%	159.5	166.2	168.4	106%	101%	36.8	38.3	38.6	105%	101%
Social Spending	235.9	234.1	99%	245.1	245.0	100%	86.5	90.4	97.2	112%	107%	20.7	20.3	22.0	106%	108%
Defence	69.9	67.0	96%	93.5	87.0	93%	16.9	26.5	22.2	131%	84%	4.2	6.5	5.1	123%	78%
Other	196.7	192.2	98%	185.9	178.5	96%	56.1	49.2	49.0	87%	100%	12.0	11.5	11.5	96%	100%
Memo: Investment	62.7	55.4	88%	58.4	50.9	87%	14.2	13.1	16.1	113%	123%	3.0	2.8	3.4	113%	123%
Main Budget: Fiscal Balance	- 81.9	- 65.4	80%	- 98.1	- 80.5	82%	- 23.5	- 29.5	- 41.0	175%	139%	- 6.6	- 8.0	- 9.2	138%	115%
Off-Budget Funds																
Military	24.1	20.0	83%	25.5	21.5	84%	3.9	3.9	5.6	144%	144%	0.9	1.0	1.2	126%	123%
Climate Transformation	36.7	26.6	72%	34.8	30.1	86%	-	-	-	-	-	-	-	-	-	-
Climate & Infrastructure	37.2	24.3	65%	58.1	47.6	82%	-	11.4	17.0	-	148%	-	2.9	6.1	-	-
Memo																
Total Spending	590.5	554.2	94%	632.9	599.6	95%	-	-	-	-	-	-	-	-	-	-
Total Defence	94.0	87.0	93%	119.0	108.5	91%	20.8	30.4	27.8	134%	91%	5.1	7.5	6.3	123%	84%
Total Investment	115.6	86.8	75%	126.6	104.7	83%	-	-	-	-	-	-	-	-	-	-
Total Fiscal Balance	- 147.1	- 109.7	75%	- 183.8	- 149.6	81%	- 27.4	- 44.8	- 63.6	232%	142%	- 7.6	- 11.8	- 16.4	217%	139%

As the climate transformation fund does not publish monthly numbers, total spending, and investment cannot be inferred during the year. We assume the fiscal balance of the climate transformation fund to be 0 throughout the year in line with our expectation.

Source: Bundesministerium der Finanzen, Haver Analytics, Goldman Sachs Global Investment Research

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